www.tntextbooks.in

9. L became insolvent and only 90 paise per rupee is received by cash in final settlement

10. Goods returned by M ₹3000

Solution

In the books of Bragathish

Journal entries

Date	Particulars		L.F.	Debit `	Credit `
2018 March 1	Purchases A/c	Dr.		60,000	
	To Y and Co. A/c				60,000
	(Goods purchased on credit)				
2	D and Co. A/c	Dr.		30,000	
	To Sales A/c				30,000
	(Credit sales made to D and Co.)				
3	Y and Co. A/c	Dr.		60,000	
	To Bank A/c				58,000
	To Discount received A/c				2000
	(Payment made to Y and Co. and discount received)				
4	Bills Receivable A/c	Dr.		30,000	
	To D and Co. A/c				30,000
	(Bills received from D and Co.)				
5	L A/c	Dr.		20,000	
	To Sales A/c				20,000
	(Goods sold on credit to L)				
6	M A/c	Dr.		40,000	
	To Sales A/c				40,000
	(Goods sold on credit to M)				
7	Bank A/c	Dr.		39,000	
	Discount allowed A/c	Dr.		1000	
	To M A/c				40,000
	(Cheque received and discount allowed)				
8	Y and A/c	Dr.		4,000	
	To Purchases returns A/c				4,000
	(Goods returned to Y and Co.)				
9	Cash A/c (20,000 × 0.9)	Dr.		18,000	
	Bad debts A/c	Dr.		2,000	
	To L A/c				20,000
	(Cash received from L in final settlement)				
10	Sales returns A/c	Dr.		3,000	
	To M A/c				
	(Goods returned by M)				3,000